25STCV01594 25STCV01594

County: los-angeles

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Case Number: 25STCV01594 Hearing Date: July 21, 2026 Dept: 732

American Business Bank v. Los Angeles Produce
Distributors, LLC, et al.

Tuesday, July 21, 2026

CASE NUMBER: 25STCV01594

OPPOSED

Plaintiff American
Business Bank’s Motion for Summary Adjudication against Defendant Jesus Garcia

Plaintiff American
Business Bank’s Motion for Summary Adjudication against Defendant Matthew
Ernest Clark.

Facts:

This matter arises from a breach of contract.

Plaintiff American Business Bank (“Plaintiff”) alleges, in relevant part, as follows. Plaintiff, as a lender, entered into a loan agreement (the “First Agreement”) with Los Angeles Produce Distributors, LLC (“LAPD”) for $3 million, with a maturity date for the loan of July 15, 2022. (Compl., ¶ 12.)

The First Agreement was guaranteed for $1 million by several defendants, including The Jesus Modesto and Maritza Garcia Living Trust dated March 12, 2014 (the "Trust"). (Ibid.) Defendants Jesus Modesto Garcia ("Jesus")[1] and Maritza Garcia ("Maritza") (collectively "Defendants"), in their capacities as trustees of the Trust, executed a commercial guaranty for $1 million in favor of Plaintiff relating to the First Agreement (the "First Guaranty"). (Id. at ¶ 17.)

Plaintiff and LAPD entered into a second agreement (the "Second Agreement") reducing the principal loan from $3 million to $2 million and extending the maturity date of the First Agreement to January 15, 2024. (Id. at ¶ 21.) The Second Agreement was also guaranteed by several defendants, including the Trust for an "unlimited" amount. (Ibid.) The Trust executed a commercial guaranty for an unlimited amount in favor of Plaintiff relating to the Second Agreement (the "Second Guaranty"). (Id. at ¶ 25.)

LAPD defaulted on the loan, and Plaintiff sent a notice of acceleration to the several defendants guaranteeing the loan (the "Notice"), including the Trust. (Id. at ¶ 28.) The Notice demanded that the guaranteeing parties, including the Trust, pay the sum of $2,019,818.06, plus $694.44 per day for interest, by November 22, 2024. (Id. at ¶ 30.) The guaranteeing parties, including the Trust, failed to pay the amount due by November 22, 2024, and Plaintiff seeks to recover the amount due on the loans. (Ibid.)

Procedural History: Plaintiff filed the Complaint on January 21, 2025, alleging causes of action for:

1. Breach of Written Business Loan Agreement;

2. Breach of Written Promissory Note;

3.
Breach of Commercial Guaranty;

4.
Unjust Enrichment;

5.
Fraudulent Inducement;

6.
Fraud;

7.
Open Book Account; and

8.
Account Stated.

On
March 19, 2025, Plaintiff dismissed the causes of action for unjust enrichment, fraudulent inducement, and fraud against Jesus and the Trust.

On
August 27, 2025, this court sustained Defendants Jose and Maritza's demurrer to the Complaint, with leave toa mend.

Plaintiff
filed the First Amended Complaint ("FAC") on August 27, 2025, alleging eight causes of action:

1. Breach
of Written Loan Agreement

2. Breach
of Written Promissory Note

3. Breach
of Commercial Guaranty

4. Unjust

Enrichment

5. Fraudulent
Inducement

6. Fraud

7. Open
Book Account

8. Account
Stated

On
April 15, 2026, this court granted Plaintiff's motion for leave to file a second amended complaint.

Plaintiff
filed the SAC on April 15, 2026, alleging the same causes of action.

On
June 25, 2026, this court granted Defendant Los Angeles Produce Fresh, LLC's ("Fresh") motion to compel further responses to requests for production from Plaintiff ABB.

This
court on June 30, 2026, granted in part Fresh's motion to compel further responses from Plaintiff ABB to interrogatories.

Plaintiff
ABB filed the present motions for summary adjudication on April 16, 2026.

Defendants
Garcia and Clark filed oppositions on July 1, 2026.

Plaintiff
filed replies on July 9, 2026.

Analysis:

I.

OBJECTIONS

Defendant

Matthew Ernest Clark ("Clark") objects to portions of the evidence submitted in connection with Plaintiff American Business Bank's ("ABB") motion for summary adjudication against him. These objections are OVERRULED.

ABB

offers objections to the evidence submitted by Clark in opposition to its motion. The objections to the declaration of Rubidia Rodriguez are OVERRULED. Objection No. 16 to the Clark declaration is SUSTAINED, as Clark provides no foundation for his opinion that lenders generally do not accelerate payment for nonmonetary defaults. The remaining objections to Clark's evidence are OVERRULED.

ABB

objects to portions of the declaration of Defendant Jesus Garcia, offered in opposition to ABB's motion for summary adjudication directed to him. Objection No. 20 as to Garcia's testimony on information and belief concerning Clark's use of certain funds is SUSTAINED for lack of foundation on personal knowledge. The remaining objections to the evidence submitted by Garcia are OVERRULEED.

ABB's

motion to strike the separate statement of Clark is DENIED. ABB's characterization of the flaws in Clark's separate statement are generally correct, in that Clark generally declines to offer a straightforward statement of whether a given proposed fact is disputed or undisputed, relies on rote invocations of his affirmative defenses, rarely cites specific evidence to support his responses, and his additional material facts consist mostly of the mere naming of documents and where they can be found in the moving and opposing papers. However, these defects are not so grievous as to warrant a conclusion that the facts stated in ABB's separate statement are to be deemed undisputed, or to grant ABB's dispositive motion on that basis. "The trial court's decision to grant a motion for summary judgment because the opposing party failed to comply with the requirements for a separate statement, … is reviewed for an abuse of discretion." (Batarse v. Service Employees Internat. Union, Local 1000 (2012) 209 Cal.App.4th 820, 827.) Where a responsive separate statement is offered in support of an opposition relying on affirmative defenses, but does "not mention those defenses, identify any disputed facts regarding them, or identify, even generally, any evidence supporting the defenses," it is not an abuse of discretion to grant the motion. (Id. at p. 831.) Clark's separate statement here is not such a separate statement, as it refers to the arguments upon which Clark relies in his opposition and the evidence in support thereof, and permits ABB to fairly assess the arguments raised in Clark's opposition and the evidence supporting same. The defects are not so glaring that the opposition cannot be considered or answered.

II.
MOTION FOR SUMMARY JUDGEMENT

A party may move for summary judgment "if it is contended that the action has no merit or that there is no defense to the action or proceeding." (Code Civ. Proc. § 437c, subd. (a).) "[I]f all the evidence submitted, and all inferences reasonably deducible from the evidence and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law," the moving party will be entitled to summary judgment. (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. (Code Civ. Proc. § 437c, subd. (f)(2).)

The moving party bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact, and if he does so, the burden shifts to the opposing party to make a prima facie showing of the existence of a triable issue of material fact. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850; accord Code Civ. Proc. § 437c, subd. (p)(2).) Plaintiffs moving for summary judgment may meet their initial burden by "prov[ing] each element of the cause of action entitling the party to judgment on the cause of action." (Code Civ. Proc. § 437c(p)(1).)

Once the plaintiff has met that burden, the burden shifts to the defendant to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto. (Code Civ. Proc. § 437c(p)(1).) The defendant may not rely upon the mere allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to that cause of action or a defense thereto. (Code Civ. Proc. § 437c(p)(1).) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

1. Matthew Ernest Clark Motion

Plaintiff ABB moves for summary adjudication on the third cause of action for breach of contract and eighth cause of action for fraud against Defendant Matthew Ernest Clark ("Clark"). Plaintiff argues that there are no triable issues as to whether Clark has breached an obligation to guarantee repayment of amounts owed on a revolving line of credit ("RLOC") extended to co-Defendant Los Angeles Produce Distributors ("LAP Distributors") executed on February 8, 2024, with a maturity date of January 15, 2025. (Motion at pp. 7–12.) ABB contends that Clark owes, but has not paid, $2,341,903.50, due as of that maturity date. (Motion at p. 12.) ABB also contends that no triable issues exist as to whether Clark fraudulently induced ABB to enter into this RLOC, as Clark, prior to entering into the RLOC, had not disclosed that he had caused LAP Distributors to enter into an agreement for the purchase of another entity prohibited under the terms of the RLOC, and further made misleading statements concerning the existence of a lien on LAP Distributors assets arising from debts owed to another entity. (Motion at pp. 16–25.)

Clark in opposition argues that triable issues of fact exist as to ABB's breach of contract claim because ABB itself breached the contract by issuing a bad faith notice of acceleration on the loan, which rendered it impossible for LAP Distributors to refinance and pay the amounts owed by the maturity date. (Opposition at p. 20.) Clark argues that ABB misrepresented his authority to sign a guaranty on behalf of co-defendant (and LAP Distributors subsidiary) LAP Fresh, which meant that when the acceleration was issued, LAP Fresh was not able to use its substantial revenue streams to assist in repayment of amounts owed. (Opposition at pp. 13–18.) And Clark argues that the defaults identified and fraudulent representations identified by ABB in its notice of acceleration and in the present motion were already known to it when it executed the agreement for the RLOC, and had been waived by the time the notice of acceleration was issued months later. (Opposition at pp. 18–23.)

A breach of contract claim requires the plaintiff to show “(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff.” (D'Arrigo Bros. of California v. United Farmworkers of America (2014) 224 Cal.App.4th 790, 800.)

ABB argues that there are no triable issues as to whether Clark breached his agreement to guarantee LAP Distributors’ RLOC, as he was the signatory to such a guaranty agreement, and $2 million was owed on the RLOC by the time of its maturity date on January 15, 2025. (Munson Decl. Exhs. 1–3.)

Clark, however, raises a dual argument of ABB’s failure to perform on the loan agreement and its waiver of Plaintiff’s defaults. Specifically, Clark contends that on November 7, 2024, ABB issued a “Notice of Acceleration and Termination of Revolving Line of Credit,” based on a number of identified defaults, which thereafter rendered it “impossible” to obtain refinancing by the maturity date. (Clark Decl. ¶ 13; Rodriguez Decl. ¶ 5.) Clark contends that this notice of acceleration was itself a breach of the loan agreement because it was not made in good faith and based on defaults that ABB had waived.

Although ABB’s motion does not discuss the notice of acceleration, it does not dispute that its fraud claim is based on the defaults there identified: specifically, Clark’s failure to disclose that LAP Distributors had entered into an agreement to acquire certain “Sweet” bakery companies, and to use funds drawn from the RLOC to make the purchase, in violation of the “negative covenants” in the RLOC agreement, which prohibited the borrower from “acquir[ing] any interest in any other enterprise or entity” without prior consent from ABB. (Munson Decl. ¶¶ 11, 13, Exh. 1.) ABB also argues that Clark fraudulently concealed that he and LAP Distributors had entered into a “factoring” agreement by incurring a $3 million indebtedness from another entity, Silo technologies (“Silo”), prior to the execution of the RLOC, once more in violation of a negative covenant not to assume indebtedness or grant a security interest in LAP Distributors assets, in which ABB already had a claim. (Munson Decl. ¶ 38, Exh. 1.)

Triable issues exist

as to whether ABB waived the defaults identified above, and thus whether it breached the agreement by issuing a notice of acceleration in reliance thereon, which prevented LAP Distributors from paying amounts due under the RLOC. “Generally, the determination of either waiver or estoppel is a question of fact, and the trier of fact's finding is binding on the appellate court.” (Platt Pacific, Inc. v. Andelson (1993) 6 Cal.4th 307, 319.) A finding of waiver of a loan’s due-on-sale provision, which permitted the lender to accelerate and call in the loan if the property purchased thereby was sold, was deemed waived when the lender waited one year between notifying the borrower of the due-on-sale clause and calling in the loan, in the meantime continuing to accept payments thereon. (See Rubin v. Los Angeles Fed. Sav. & Loan Assn. (1984) 159 Cal.App.3d 292, 295 [“We observe first that the court's finding of waiver here was not based solely on Los Angeles Federal's failure to initiate foreclosure proceedings but also on its acceptance of the monthly payments from Rubin as they became due over a substantial period of time without any reservation of rights and with full knowledge that the property had been transferred to Rubin in 1978.”].)

Here, there are triable issues as to whether ABB was on notice of the defaults it identified when or shortly after it executed the RLOC agreement. Specifically, although ABB cites correspondence with Clark in which he played noncommittal about the Silo transaction and lien in January 2024 (Munson Decl. Exh. 30), this same correspondence permits an inference that ABB was aware of Silo’s lien at that time and elected to proceed with the RLOC transaction nonetheless, stating in an email to Clark, “We will not hold back based on this UCC [lien].” (Clark Decl. Exh. J.) Clark also presents evidence raising a triable issue as to whether ABB was aware of the purchase of the “Sweet” entities as of February 15, 2024, via correspondence with ABB in which he asked them to make a wire transfer for an “asset purchase,” with the destination account to be Sweet Lady Jane ABC Trust. (Clark Decl. Exh. G.)

In the meantime, Clark maintains that LAP Distributors remained current on monthly payments on the loan (Clark Decl. ¶ 11.) And ABB presents evidence that it continued to permit LAP Distributors to draw on the line of credit in the months thereafter up to its $2 million limit. (Munson Decl. ¶¶ 14–31.) Triable issues thus exist as to whether ABB’s conduct was “so inconsistent with the intent to enforce the right in question as to induce a reasonable belief that such right has been relinquished.” (Rubin, supra, 159 Cal.App.3d at p.298.) And although ABB in reply argues that Clark’s guaranty agreement contained provisions stating that he waived any right to require the lender “to pursue any remedy or course of action in lender’s power” (Reply at p. 10), this provision has no evident application against the waiver doctrine here. In any event, “[e]ven a waiver clause may be waived by conduct.” (Bettelheim v. Hagstrom Food Stores, Inc. (1952) 113 Cal.App.2d 873, 878.)

By the same token, the motion must be denied as to the eighth cause of action for fraud. “The elements of this kind of tort are: (1) a representation, (2) that is false, (3) made with knowledge of its falsity, and (4) with an intent to deceive, coupled with (5) actual detrimental reliance and (6) resulting damage.” (Lim v. The.TV Corp. Internat. (2002) 99 Cal.App.4th 684, 694.) Although the First Amended Complaint (“FAC”) alleges that Clark failed to disclose the transaction with Silo and its ensuing security interest, triable issues exist as to whether ABB was reasonably put on notice of that transaction by the lien it identified prior to the execution of the RLOC. The same facts creating triable issues as to waiver also create triable issues as to whether ABB reasonably relied on the representations or concealments to their detriment, as evidence permits an inference ABB continued to authorize draws on the RLOC and accept payments after facts were disclosed that may have put them on notice of the alleged misrepresentations. Moreover, Clark himself contends that he believes the transactions were permitted by the terms of the loan, and that he did not intend to defraud ABB, which constitutes evidence that he lacked intent to defraud.. (Clark Decl. at p. 11:3–5.)

The motion for summary adjudication as to Clark is therefore DENIED.

2.
Jesus Garcia Motion

ABB seeks summary adjudication only as to the fourth cause of action for breach of guaranty against Defendant Jesus Garcia, arguing that he signed a guaranty agreement for LAP Distributors’ RLOC and has failed to pay the balance owed. (Motion at pp. 12–14.) Garcia in opposition argues that triable issues exist as to whether the guaranty that he signed was procured by fraud, as ABB failed to disclose to him the existence of the Silo transaction and lien that it would later offer as a default warranting acceleration of the loan. (Opposition at pp. 12–17.) Garcia also argues that the guaranty is procedurally and substantively unconscionable, as it was prepared entirely by ABB without an opportunity for his negotiation, and that he signed it only on the representation of Clark that it was necessary for LAP Distributors to stay in business. (Opposition at pp. 17–20.)

Garcia's opposition presents evidence creating triable issues of fact as to whether the guaranty is enforceable as to him based on ABB's failure to disclose the existence of an event of default at the time he executed the guaranty.

Section 124, subdivision (1), of the Restatement of Security prescribes three conditions prerequisite to imposition of a duty on a creditor to disclose facts it knows about the debtor to the surety. Those conditions are: (a) 'the creditor has reason to believe' that those facts materially increase the risk 'beyond that which the surety intends to assume'; (b) the creditor 'has reason to believe that the facts are unknown to the surety'; and (c) the creditor 'has a reasonable opportunity to communicate' the facts to the surety. (See text accompanying fn. 8, supra.) The creditor's failure to disclose such facts to the surety prior to an extension of further credit to the debtor will discharge the surety from liability on the subsequent loan only if all three conditions are satisfied.

(Sumitomo Bank of Cal. v. Iwasaki (1968) 70 Cal.2d 81, 93.)

Garcia executed the guaranty agreement on February 5–7, 2024. (Garcia Dec. ¶ 8.) The correspondence indicating ABB's awareness of Silo's UCC loan was sent on January 23, 2024, prior to Garcia's signature. (Thomas Decl. Exh. I.) Garcia states that he was never copied on ABB's correspondence related to the Silo lien, that Clark never informed him of the Silo lien, and that he had no knowledge of it or any other potential basis for default until the end of 2024. (Garcia Decl. ¶ 19.) Garcia states that he signed the guaranty because Clark told him there was an "urgency" about getting the money, and that LAP Distributors needed the money "right away." (Garcia Decl. ¶ 17.) Garcia states that had he known that Clark had engaged in conduct constituting a default, or that grounds for a default on the loan that he guaranteed existed prior to his execution of the guarantee, that he would not have signed the guaranty, and would have sought its revocation if possible. (Garcia Decl. ¶ 21.)

ABB argues that the existence of the Silo lien did not meaningfully increase the risk to which Garcia was subject, because ABB had liens on LAP Distributors assets that were senior to the Silo lien. (Reply at p. 10.) But this is an argument as to why ABB was protected against the lien, not why Garcia was protected against a default that ABB may have had reason to know had already occurred. ABB further argues that it did not discover the factoring agreement or agreements between LAP Distributors and Silo that formed the basis for the lien until later in the year (Reply at pp. 10–11; Supp. Weiss Decl. Exh. 12.) But ABB does not explain why their belated discovery of the factoring agreement obviates evidence of their knowledge of the security interest that it created, particularly when the creation of that security interest constituted grounds for default in ABB's subsequent notice of acceleration. (Thomas Decl. Exh. B (SAC Exh. 14).) ABB finally argues that the existence of grounds for default did not meaningfully increase Garcia's risk because it would only have permitted ABB to accelerate the loan and demand all amounts due thereunder prior to the maturity date. (Reply at p. 11.) But Garcia testifies that he was only induced to execute the guaranty by Clark's representations of LAP Distributors' urgent need for cash, meaning that a premature default or calling in of amounts owed created a heightened risk that Garcia himself, rather than LAP Distributors, would be called upon to satisfy the obligation. Triable issues of fact thus exist as to whether ABB owed a duty to disclose the Silo lien to Garcia as a known grounds for default.

The motion is therefore DENIED.

Superior Court of California

County of Los Angeles

Department 732

American
Business Bank,

Plaintiff,

v.

Los

Angeles Product Distributors, LLC, et al.

Defendant(s).

Case No.:
25STCV01594

Hearing Date: July 21, 2026

[TENTATIVE] RULING RE:

Plaintiff American
Business Bank’s Motion for Summary Adjudication against Defendant Jesus
Garcia

Plaintiff American
Business Bank’s Motion for Summary Adjudication against Defendant Matthew
Ernest Clark.

Plaintiff
American Business Bank’s Motion for Summary Adjudication against Defendant
Jesus Garcia is DENIED.

Plaintiff
American Business Bank’s Motion for Summary Adjudication against Defendant
Matthew Ernest Clark is DENIED.

Plaintiff to give notice.

Dated: July 21, 2026

____

Hon.
Richard S. Kemalyan

Judge
of the Superior Court

[1] In light

of the parties sharing the same last name, the Court shall respectfully refer to the parties by their first name, where applicable.